

Before the
FEDERAL MARITIME COMMISSION
Washington, D.C. 20573

DOCKET NO. 24-24

S.P.F. LOGISTICS, INC.,
COMPLAINANT,
v.
HAPAG-LLOYD AG,
RESPONDENT.

**JOINT MOTION FOR APPROVAL OF
CONFIDENTIAL SETTLEMENT AGREEMENT**

Complainant S.P.F. Logistics, Inc. (“SPF”) and Respondent Hapag-Lloyd AG (“HLAG”) (SPF and HLAG are hereinafter jointly referred to as the “Parties”) submit this joint motion for approval of the Confidential Settlement Agreement and Mutual Release (the “Agreement”) filed under seal concurrently herewith. The Parties believe that the Agreement meets the criteria set by the Federal Maritime Commission (the “FMC” or the “Commission”) for approval of settlement agreements and therefore should be approved.

I. INTRODUCTION

This proceeding was commenced when SPF filed a complaint on or about July 16, 2024, alleging violations of the Shipping Act of 1984, as amended. HLAG filed a motion for summary judgement on or about September 12, 2024, to which SPF replied. On January 14, 2025, the Parties were ordered to file supplemental briefs, which they did. The motion for summary judgement was denied on May 8, 2025, after which HLAG filed its answer to the complaint. The Parties then engaged in discovery, and completed document production and responses to interrogatories. The Parties were then able to reach the compromise reflected in the Agreement.

II. REQUEST FOR APPROVAL OF THE CONFIDENTIAL SETTLEMENT AGREEMENT

In assessing settlement agreements, the Commission has established “a strong and consistent policy of ‘encourag[ing] settlements and engag[ing] in every presumption which favors a finding that they are fair, correct, and valid.’” *Aeneas Exporting LLC v. Carlo Shipping International Inc.*, FMC Dkt. No. 20-11, 2020 WL 5037329, at *1 (FMC ALJ Aug. 24, 2020) (quoting *Inlet Fish Producers, Inc. v. Sea-Land Serv., Inc.*, 29 S.R.R. 975, 978 (FMC ALJ 2002)). Moreover, “if it is the considered judgment of the parties that whatever benefits might result from vindication of their positions would be outweighed by the costs of continued litigation and if the settlement otherwise complies with law the Commission authorizes the settlement.” *Delhi Petroleum Pty. Ltd. v. US. Atl. & Gulf/Australia – New Zealand Conf. and Columbus Line, Inc.*, FMC Dkt. Nos. 88-2, 88-4, 1988 WL 340657, at *7 (FMC ALJ Aug. 12, 1988).

The Parties are sophisticated corporate entities that reached the Agreement through robust negotiations, with the Agreement “reflect[ing] careful consideration of the parties of a variety of factors, including the relative strengths of their positions weighed against the risks and costs of continued litigation.” *APM Terminals N. Am., Inc. v. Port Auth. of N.Y. & N.J.*, 31 S.R.R. 623, 636

(FMC 2009) (quoting *Delhi Petroleum Pty. Ltd.*, 1988 WL 340657, at *7). The Agreement does not contravene any law or public policy, and it is neither unjust nor discriminatory. It does not contemplate any adverse effects on any third parties or the shipping public.

The Agreement is a fair and reasonable resolution of the dispute between the Parties, particularly in light of the amount at issue and the cost of further litigation. The Agreement reflects the desire of the Parties to resolve their dispute without the need for further costly litigation before the Commission and the courts. For these reasons, the Parties respectfully request that the Agreement be approved and, on that basis, the verified complaint in this matter be dismissed with prejudice.

III. REQUEST FOR CONFIDENTIAL TREATMENT AND LEAVE TO FILE UNDER SEAL

The Commission routinely affords confidential treatment to settlement agreements under 46 C.F.R. Section 502.5, given that they “often contain sensitive commercial information that should be protected from public disclosure.” *D.F. Young, Inc. v. NYK Line (North America) Inc.*, FMC Dkt. No. 16-02, 1 F.M.C.2d 135, 137 (FMC May 22, 2018). Accordingly, “[i]f parties wish to keep the terms of their settlement agreements confidential, the Commission, as well as the courts, have honored such requests.” *Marine Transp. Logistics, Inc., v. CMA-CGM (Am.) LLC*, FMC Dkt. No. 18-07, 2 F.M.C.2d 31, 33 (FMC ALJ Feb. 18, 2020) (quoting *Al Kogan v. World Express Shipping, Transp. & Forwarding Servs., Inc.*, FMC Dkt. No. 00-04, 29 S.R.R. 68, 70 n.7 (FMC ALJ Dec. 14, 2000)).

The Agreement is the result of confidential negotiations between the Parties, and the Parties therefore jointly and respectfully request leave to file the Agreement under seal for review and approval, and that the Agreement thereafter continue to be afforded confidential treatment by the Commission.

IV. CONCLUSION

The Agreement comprehensively addresses the issues relating to the above-referenced proceeding and meets the Commission's well-established criteria for approval of agreements settling administrative litigation and should therefore be approved and, upon such approval, FMC Docket No. 24-24 should be discontinued in its entirety.

Dated: November 28, 2025

Respectfully submitted,

By: /s/ Wayne Rohde
Wayne Rohde, Esq
Cozen O'Connor
2001 M Street, NW
Washington, DC 20036
(202) 463-2507
wrohde@cozen.com
Counsel for Respondent Hapag-Lloyd AG

By: /s/ Theodore H. Adkinson
Theodore H. Adkinson
Roberts & Kehagiaras LLP
210 Yacht Club Way
Redondo Beach, CA 90277
(310) 642-9800
tha@tradeandcargo.com
Counsel Complainant S.P.F. Logistics, Inc.